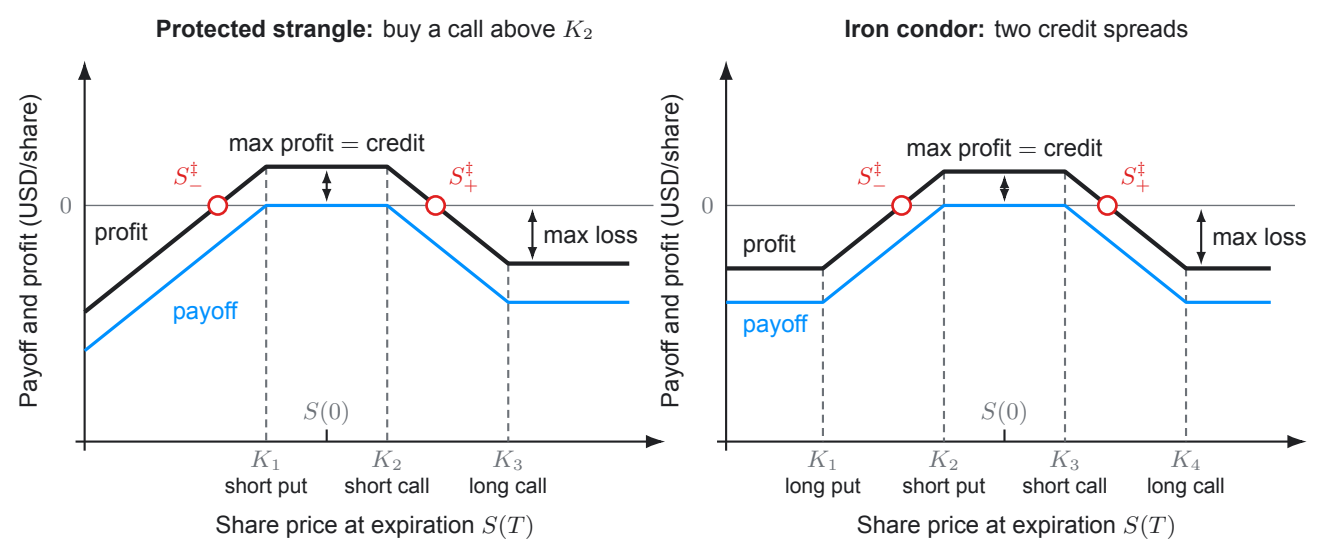
Protected strangle: buy a call above K_2
max profit = credit
$S_-^{\ddagger}$
$S_+^{\ddagger}$
0
profit
payoff
max loss
$S(0)$
K_1
short put
K_2
short call
K_3
long call
Payoff and profit (USD/share)
Share price at expiration $S(T)$
Iron condor: two credit spreads
max profit = credit
$S_-^{\ddagger}$
$S_+^{\ddagger}$
0
profit
payoff
max loss
$S(0)$
K_1
long put
K_2
short put
K_3
short call
K_4
long call
Payoff and profit (USD/share)
Share price at expiration $S(T)$